Chatterjee. And Corus was only available for purchase in the global market, says Hussain.

Corus Comes Calling

Around the time Ratan acquired Tetley, Corus was facing a shortage of iron ore. The company was in an ‘unsustainable strategic position’ because it had no direct access to raw materials, says James W. Leng, chairman of the steel maker when Tata Steel acquired it.

It also coincided with the time when Ratan was looking for opportunities to expand abroad in keeping with his global vision. Corus had become aware of this. The European steel giant reached out to Muthuraman through Philippe Varin, its CEO, to explore the possibility of a partnership. Leng and Varin decided to call on Ratan to directly ascertain his views.

A meeting was arranged by Muthuraman on 15 September 2005 at Bombay House. Before they met, the MD sent a background note to Ratan on why Corus had sought the meeting. He concluded that ‘Corus’s main worry’ was that they did not have ‘long-term strategic tie-up for raw material’. In the absence of such an arrangement, ‘their long-term sustainability’ was in ‘great doubt’. Under these circumstances, Corus was ‘scouting around the world, including in Brazil, Australia and the CIS countries for a tie-up’.

Muthuraman saw an ‘opportunity’ for the Tatas in this quest. He advised that Tata Steel could ‘plan for supply of slabs/billets to their company and bargain for an equity position in the company that seeks these semi-finished products’. It was not that Tata Steel was holding discussions with a European company for the first time. It had negotiated with British Steel some years back, but that discussion went nowhere.

The meeting was cordial and both sides exchanged their views on a possible tie-up. Ratan was open to a possible collaboration. Corus was doing well too. It had an EBITDA of $1.7 billion and $1.3 billion for the years 2005 and 2006 respectively. ‘When we were talking to Tata, we did not have a profitability issue. We had a strategic weakness—raw materials,’ says Leng.

Ratan assessed that a partnership with Corus could give Tata Steel access to new customers, technology, talent and a readymade market. Amongst these, he set much store by the benefits Tata Steel could derive from a larger